

Supplemental Addendum

Client: Shayne Huffman

Original Plan Date: November 2025

Addendum Date: November 18, 2025

Purpose: Critical Corrections & Strategy Refinements

Executive Summary of Changes

CRITICAL CORRECTION: The original wealth plan contained several factual errors about your current position that require immediate strategic adjustments. This addendum corrects those errors and refines your implementation timeline accordingly.

This supplemental addendum addresses five major corrections to your original wealth plan:

1. **STR Status:** You have 2 operational STRs (not 3 launching), which changes the immediate action plan from setup to optimization
2. **Business Credit:** \$74K credit already deployed on Texas property (not available for deployment)
3. **Primary Residence:** HOA restriction prevents STR conversion, requiring alternative strategy
4. **Property Portfolio:** Complete details on all 4 properties with accurate purchase prices and equity positions
5. **Builder Advantage:** Your licensed builder status reduces barndominium costs by 20-30%

These corrections result in a revised first-year ROI calculation and modified implementation timeline. The good news: your operational STRs position you ahead of the original timeline for tax strategy execution.

Corrected Current Position Analysis

Property Portfolio (Corrected)

LTR #1: 7472 Reid Rd, Swartz Creek, MI 48473

- **Purchase:** 2012 for \$28,000
- **Status:** Fully remodeled, operational rental
- **Estimated Current Value:** \$120,000-\$150,000 (based on 2012 purchase + complete remodel)
- **Estimated Equity:** \$100,000-\$130,000 (assuming minimal remaining mortgage)
- **Strategy:** Primary HELOC target for capital access

LTR #2: 1269 Vienna Rd, Clio, MI 48420

- **Purchase:** 2013 for \$27,000-\$29,000
- **Status:** Some initial work, needs remodeling
- **Estimated Current Value:** \$80,000-\$100,000
- **Estimated Equity:** \$65,000-\$85,000
- **Strategy:** **PRIMARY CONVERSION TARGET - LTR to STR after renovation**

STR #1: 127 Spruce St, Vassar, MI 48768

- **Purchase:** April 2025 for \$175,000

- **Status:** Fully remodeled interior, operational STR
- **Entity Structure:** Held in self-directed IRA
- **Current Value:** \$175,000-\$185,000
- **Strategy:** Material participation tracking NOW, cost segregation study immediately

STR #2: 202 Brooke St, Hutto, TX 78634

- **Purchase:** June 2025 for \$375,000
- **Status:** Interior remodel complete, HVAC/water heater/windows replaced, operational STR
- **Current Value:** \$385,000-\$400,000 (post-improvement)
- **Estimated Equity:** \$75,000-\$100,000 (depending on down payment)
- **Strategy:** Cost segregation IN PROGRESS (good!), material participation tracking NOW

Primary Residence: Clio, MI (HOA)

- **Status:** Owner-occupied, HOA community
- **Original Strategy:** ~~Convert to STR~~
- **Constraint:** HOA requires board approval for STR (unlikely to approve)
- **New Strategy Options:**
 - **Option A:** Convert to MTR (30+ day rentals, typically outside HOA restrictions)
 - **Option B:** Keep as primary, convert Vienna Rd LTR to STR instead
 - **Option C:** Buy land + build house to use as STR
- **Recommended:** Option B (Vienna Rd conversion) as it requires no HOA approval, uses existing equity, and creates third STR

Revised Total Equity Position

Property	Estimated Value	Estimated Equity
Reid Rd (LTR #1)	\$120,000-\$150,000	\$100,000-\$130,000
Vienna Rd (LTR #2)	\$80,000-\$100,000	\$65,000-\$85,000
Vassar STR (IRA)	\$175,000-\$185,000	N/A (IRA-held)
Hutto STR	\$385,000-\$400,000	\$75,000-\$100,000
Primary Residence	Unknown	Unknown
Total Accessible Equity		\$240,000-\$315,000

Note: Original plan assumed \$450K total equity. Revised calculation shows \$240K-\$315K in accessible equity (excluding IRA-held Vassar property and unknown primary residence value). This is still substantial leverage capacity but requires adjusted capital deployment strategy.

LLC Structure (Corrected)

Entity Type	Jurisdiction	Purpose
Holding LLC #1	Wyoming	Asset protection layer
Holding LLC #2	Wyoming	Asset protection layer
Holding LLC #3	Wyoming	Asset protection layer
Holding LLC #4	Texas	Asset protection layer
Operations LLC #1	Texas	Texas STR operations
Operations LLC #2	Michigan	Michigan property operations

Operations LLC #3	Michigan	Michigan property operations
Marketing/Consulting LLC	Michigan	Houses all business credit

Well Structured: Your 8-LLC structure with Wyoming holding companies provides excellent asset protection. The separation between holding and operating entities is sophisticated and appropriate for your portfolio size.

Business Credit Status (Corrected)

Item	Original Plan	Actual Status
Available Credit	\$74,000 at 0% available	Already deployed on Texas property
Deployment	To be allocated to STR furnishings	Used for Texas repairs, upgrades, furnishings
Strategy Impact	\$74K immediate capital for launches	Need alternative capital source or additional credit

Capital Implication: With business credit already deployed, Vienna Rd LTR-to-STR conversion and barndominium construction must be funded via HELOC on Reid Rd and/or Vienna Rd properties. Additional business credit applications become more critical.

Revised Primary Strategy: Vienna Rd LTR-to-STR Conversion

Strategic Pivot: Since your primary residence cannot be converted to STR due to HOA restrictions, Vienna Rd becomes your primary near-term value creation opportunity. This property needs remodeling anyway, making it perfect for optimization.

Vienna Rd Conversion Project Plan

Current Status: 1269 Vienna Rd purchased 2013 for \$27K-\$29K, some initial work done, needs remodeling

Conversion Timeline: 4-6 months from funding to operational STR

Phase 1: Capital Access (Month 1-2)

- Apply for HELOC on Reid Rd: Target \$50,000-\$75,000 (conservative LTV on fully remodeled property)
- Alternative: Cash-out refinance on Vienna Rd itself (use equity to fund own renovation)
- Estimated costs: \$30,000-\$50,000 for full interior renovation + furnishing

Phase 2: Renovation Execution (Month 2-5)

Your Builder Advantage: As a licensed builder acting as general contractor, you'll save 20-30% on typical contractor costs

Cost Breakdown (Conservative):

- Interior renovation: \$20,000-\$30,000 (kitchens, bathrooms, flooring, paint)
- Furnishings & equipment: \$12,000-\$18,000 (beds, furniture, appliances, TV, linens)
- Permits & contingency: \$3,000-\$5,000
- **Total Investment:** \$35,000-\$53,000
- **Post-Renovation Value:** \$110,000-\$130,000 (based on area STR comps)
- **Forced Appreciation:** \$30,000-\$45,000

Phase 3: STR Launch (Month 5-6)

- Professional photos and listing creation
- STR insurance policy (\$1,200-\$1,800 annually)
- Platform listings (Airbnb, VRBO)
- Initial bookings and material participation tracking

Financial Projections: Vienna Rd as STR

Metric	Conservative	Moderate
Monthly Gross Revenue	\$2,500	\$3,500
Occupancy Rate	60%	75%
Operating Expenses	\$1,000/mo	\$1,200/mo
Net Cash Flow	\$1,500/mo	\$2,300/mo
Annual Cash Flow	\$18,000	\$27,600

Tax Benefits: Vienna Rd conversion creates massive first-year deductions:

- Cost segregation on \$30K-\$50K renovation: \$20K-\$35K accelerated depreciation
- 100% bonus depreciation on \$12K-\$18K furnishings: immediate deduction
- Setup year losses offset by STR loophole (material participation)
- **Estimated first-year tax savings from Vienna Rd alone:**
\$10,000-\$15,000

Alternative Strategies (Lower Priority)

Option: Convert Primary Residence to MTR

If you want to monetize your primary residence despite HOA restrictions:

- MTRs (30+ day minimum stays) typically fall outside HOA STR restrictions

- Target traveling professionals, corporate housing, displaced homeowners
- Revenue: 1.5-2× typical long-term rent but less than STR
- Lower management burden than STR (monthly turnover vs weekly)
- Still qualifies for STR loophole IF average stay under 30 days (some MTR bookings are 30-90 days)

Recommendation: Defer this decision until after Vienna Rd conversion proves successful. You'll have three operational STRs at that point and can evaluate if adding an MTR makes sense.

Builder Advantage: Barndominium Cost Optimization

Major Advantage Identified: Your licensed builder status and plan to self-perform as general contractor with framing dramatically reduces barndominium construction costs.

Cost Comparison: Typical vs Your Approach

Cost Component	Typical General Contractor	Your DIY GC + Framing	Your Savings
General Contractor Fee (20%)	\$15,000-\$20,000	\$0	\$15,000-\$20,000
Framing Labor	\$12,000-\$18,000	\$0 (your labor)	\$12,000-\$18,000
Markup on Subcontractors (10-15%)	\$5,000-\$8,000	\$0 (direct contracts)	\$5,000-\$8,000
Total Cost Savings			\$32,000-\$46,000

Revised Barndominium Budget

Original Plan Assumption: \$50,000-\$80,000 for barn-to-barndominium conversion

Your Builder-Optimized Budget: \$35,000-\$55,000 for same scope

Material Costs Only (Your Labor Separate):

- Foundation work: \$5,000-\$8,000
- Framing materials: \$8,000-\$12,000
- Plumbing subcontractor: \$6,000-\$9,000
- Electrical subcontractor: \$5,000-\$8,000
- HVAC subcontractor: \$4,000-\$6,000
- Drywall & finishing: \$4,000-\$6,000
- Kitchen & bathrooms: \$6,000-\$10,000
- Flooring & finishes: \$3,000-\$5,000
- Permits & contingency: \$2,000-\$3,000
- **Total Material + Subcontractor Costs: \$43,000-\$67,000**

Value Creation Through Sweat Equity

Your Time Investment	Hours	Market Value @ \$50/hr
General contractor management	80-120 hours	\$4,000-\$6,000
Framing labor	120-200 hours	\$6,000-\$10,000
Total Sweat Equity Value	200-320 hours	\$10,000-\$16,000

Strategic Note: Your 200-320 hours of sweat equity translates to \$10K-\$16K in saved costs PLUS hours toward Real Estate Professional Status qualification (750+ hours required). This barndominium project alone could provide 26-42% of required REPS hours.

Financing Strategy for Barndominium

Recommended Approach:

1. **Phase 1 Funding:** HELOC draw on Reid Rd (\$20,000-\$30,000 initial)
2. **Phase 2 Funding:** Vienna Rd cash-out refi after STR stabilization (\$15,000-\$25,000)
3. **Phase 3 Funding:** Construction loan or personal loan for final \$10,000-\$15,000 if needed
4. **Timeline:** 6-12 months construction (evenings/weekends + 10 hours/week availability)

Post-Completion Value: Barndominium as primary residence for 12 months establishes basis for FHA 203k loan on final dream home build (3.5% down payment vs 15-20% investor loan).

URGENT: Material Participation Tracking

IMMEDIATE ACTION REQUIRED: You have TWO operational STRs right now (Vassar and Hutto). Material participation tracking must begin THIS WEEK to qualify for STR loophole deductions in 2025. Original plan assumed future STR launches, but you're already operational.

Why This Is Critical

The short-term rental loophole allows you to deduct rental losses against your pension income (bypassing passive loss rules) IF you materially participate. With two STRs operational since April/June 2025, you likely have:

- Setup costs and renovation expenses (Hutto: HVAC, water heater, windows, interior remodel)
- Furnishing costs (potentially \$20K-\$30K across both properties)
- Operating expenses exceeding revenue in early months (typical year-one scenario)
- Cost segregation study underway for Hutto (will generate additional depreciation)

Estimated 2025 Tax Impact (Vassar + Hutto Combined):

Deduction Source	Conservative	Aggressive
Operating Losses (Setup Year)	\$10,000	\$20,000
Bonus Depreciation (Furnishings)	\$15,000	\$25,000
Cost Segregation (Hutto)	\$20,000	\$40,000
Total Potential Deductions	\$45,000	\$85,000
Tax Savings @ 26-28%	\$11,700-\$12,600	\$22,100-\$23,800

But Only If You Document Material Participation! Without documented proof of 100+ hours per property (or more hours than any other individual), IRS can disallow all deductions and reclassify losses as passive (not deductible against pension).

What Counts as Material Participation Hours

For each STR, track ALL time spent on:

- Property setup and renovation oversight
- Furnishing selection, purchasing, assembly
- Cleaning between guests (or coordinating cleaners)
- Guest communication (inquiries, bookings, check-in, issues)
- Maintenance and repairs
- Listing optimization (photos, descriptions, pricing)
- Bookkeeping and expense tracking
- Strategy and planning sessions
- Travel to/from properties for inspections

Documentation System (Implement This Week)

Day 1-2: Install time-tracking app (Toggl, Clockify, or simple spreadsheet)

- Create separate tracking categories for each property
- Set phone reminder to log hours daily
- Retroactively estimate hours from April-November (Vassar) and June-November (Hutto)

Day 3-7: Gather supporting documentation for retroactive hour estimates

- Email/text threads with guests (shows communication time)
- Calendar entries for property visits and cleanings
- Credit card receipts for supply purchases (shows shopping trips)
- Contractor invoices (shows time coordinating work)
- Photos timestamped from property visits

Ongoing: Log hours DAILY going forward

- Even 15 minutes responding to guest message = log it
- 30-minute cleaning session = log it
- 1-hour drive to property = log it
- Target: 100+ hours per property for 2025 (very achievable with April/June start dates)

Estimated Hours to Date (Reconstructive Estimate)

Vassar STR (April-November = 8 months):

- Setup & renovation oversight: 40-60 hours
- Furnishing & equipment: 20-30 hours
- Guest communication (8 months): 60-100 hours
- Cleaning coordination: 40-60 hours
- Maintenance & property visits: 20-40 hours
- **Total Estimated: 180-290 hours** ✓ Well above 100-hour threshold

Hutto STR (June-November = 6 months):

- Renovation oversight (HVAC, water heater, windows, interior): 50-80 hours

- Furnishing & equipment: 20-30 hours
- Guest communication (6 months): 40-70 hours
- Cleaning coordination: 30-50 hours
- Travel to/from Texas (if from Michigan): 20-40 hours
- **Total Estimated: 160-270 hours** ✓ Well above 100-hour threshold

Good News: Even conservative estimates show you likely qualify for material participation in both properties. The key is documenting these hours retroactively and maintaining daily tracking going forward.

Revised 30-Day Action Plan

Focus Shift: Original plan emphasized "launching STRs." Your revised plan focuses on optimizing existing STRs, accelerating tax documentation, and planning Vienna Rd conversion.

Week 1: Tax Documentation & Material Participation (Days 1-7)

Day 1 (HIGHEST PRIORITY): Material Participation Reconstruction (4-6 hours)

- Install Toggl or create detailed spreadsheet for hour tracking
- Review calendars, emails, texts from April-November (Vassar) and June-November (Hutto)
- Estimate hours spent on setup, renovation, guest communication, cleaning, maintenance
- Document supporting evidence (emails, receipts, photos, calendar entries)
- Create weekly summary of hours by activity type for each property
- **Target: Reconstruct 150+ hours per property for 2025**

Day 2: Cost Segregation Coordination (2-3 hours)

- Hutto cost seg already in progress: Confirm status and estimated completion
- Order cost seg study for Reid Rd (LTR #1): \$4K-\$6K investment, \$15K-\$25K tax savings
- Plan Vienna Rd cost seg AFTER renovation complete (will include improvement costs)
- Gather all documentation: Purchase contracts, improvement receipts, contractor invoices

Day 3: LLC & Accounting Structure Review (2-3 hours)

- Confirm which LLCs hold which properties (correct entity structure)
- Verify separate accounting categories in QuickBooks for each property
- Ensure Marketing/Consulting LLC (credit holder) properly tracking business credit expenses
- Document any entity structure changes needed for optimization

Day 4: Home Office & Vehicle Tracking Setup (2 hours)

- Designate and measure home office space for rental business admin
- Photograph office showing exclusive business use
- Install MileIQ or Everlance for automatic mileage tracking
- Record current odometer and establish business use baseline

Day 5: HELOC Applications - Reid Rd Primary Target (3-4 hours)

- Contact 5+ lenders for HELOC quotes on Reid Rd (fully remodeled, strong equity position)
- Target: \$50,000-\$75,000 line of credit
- Gather required docs: Property tax statements, mortgage statement, income verification
- Submit applications to top 3 lenders
- **Purpose: Fund Vienna Rd renovation (\$30K-\$50K) + barndominium start (\$20K-\$30K)**

Day 6: Accountable Plan Implementation (2 hours)

- Draft formal accountable plan document for LLC
- Establish reimbursement procedures and documentation requirements
- Create expense categories: Mileage, meals, travel, supplies, cell phone, internet
- Set up monthly reimbursement process with proper substantiation

Day 7: Bitcoin DCA Launch (1 hour)

- Create River.com account and complete KYC verification
- Link bank account for ACH transfers
- Set up recurring purchase: \$600/month to start
- Make initial lump purchase: \$5,000 from available liquid capital
- Enable two-factor authentication

Week 2: Vienna Rd Planning & Alternative Credit (Days 8-14)

Day 8-9: Vienna Rd LTR-to-STR Conversion Planning (4-6 hours)

- Visit Vienna Rd property and assess renovation scope
- Take detailed photos of current condition (before photos)
- Create renovation punch list: Kitchen, bathrooms, flooring, paint, fixtures
- Obtain contractor quotes for work you won't self-perform (plumbing, electrical)
- Research Michigan STR regulations and Clio permit requirements
- Verify zoning allows short-term rentals at Vienna Rd address

Day 10-11: Alternative Business Credit Research (3-4 hours)

- Review why Zero Interest Mastery denied additional credit applications
- Research alternatives: Fund&Grow, Business Credit Breakthrough, Nav, Creditstrong
- Strengthen business credit profiles across all 8 LLCs (add trade lines, ensure proper reporting)

- Consider which LLC(s) have cleanest credit profile for new applications
- Target: \$25,000-\$50,000 additional 0% credit for Vienna Rd furnishings

Day 12-13: CPA Selection & Engagement (2-3 hours)

- Research CPAs experienced with STR loophole and real estate tax strategies
- Schedule consultations with 2-3 candidates
- Ask about experience with material participation, REPS, cost segregation coordination
- Select CPA and schedule year-end tax planning meeting for December
- **Critical: Engage before December 31 for 2025 tax strategy implementation**

Day 14: Existing STR Optimization Review (2-3 hours)

- Review Vassar and Hutto STR performance: Occupancy rates, pricing, guest reviews
- Identify optimization opportunities: Better photos, pricing adjustments, amenity additions
- Ensure professional photos for both properties (hire photographer if needed: \$200-\$400)
- Optimize listing descriptions emphasizing unique features and local attractions

Week 3: Capital Deployment Planning & Barndominium Prep (Days 15-21)

Day 15-17: Vienna Rd Renovation Budget Finalization (3-4 hours)

- Finalize scope of work and detailed budget: Materials, labor, furnishings, contingency
- Create project timeline: 4-6 months realistic for evenings/weekends work
- Order materials with long lead times (cabinets, fixtures) if HELOC approved

- Schedule subcontractor work (plumbing, electrical) for later phases

Day 18-19: Barndominium Planning Phase (3-4 hours)

- Create detailed barndominium design plans (square footage, layout, features)
- Obtain permit requirements from local building department
- Price out framing materials (you'll self-perform framing labor)
- Get quotes from subcontractors: Foundation, plumbing, electrical, HVAC, drywall
- Create phased budget: Foundation → Framing → MEP → Finishing

Day 20-21: Year-End Tax Planning (2-3 hours)

- Compile all 2025 expenses for both STRs (renovation costs, furnishings, operating expenses)
- Organize receipts and documentation for cost segregation studies
- Calculate estimated 2025 income from pension + rental income
- Identify any additional deductible expenses to incur before December 31
- Schedule CPA meeting for comprehensive 2025 tax strategy review

Week 4: Execution Launch (Days 22-30)

Day 22-24: HELOC Funding & Deployment (ongoing)

- Follow up on Reid Rd HELOC applications (expect 30-45 day processing)
- If approved, execute HELOC draw: \$30K-\$40K for Vienna Rd renovation start
- If not yet approved, pursue bridge financing or delay Vienna Rd start to Q1 2026

Day 25-27: Vienna Rd Renovation Kickoff (if funded)

- Begin interior demolition and renovation work on Vienna Rd
- Order furnishings with 6-8 week lead time (arrive near project completion)

- Continue tracking all hours spent on renovation for REPS documentation

Day 28-30: Month-End Review & Q1 2026 Planning

- Review 30-day progress against action plan
- Assess material participation hour documentation (target: 180+ hours per STR reconstructed)
- Confirm HELOC status and adjust timeline if needed
- Set Q1 2026 goals: Complete Vienna Rd renovation, file 2025 taxes, begin barndominium construction

30-Day Completion Milestones (Revised)

By day 30, you should have:

- ✓ Material participation hours documented for Vassar (180+ hours) and Hutto (160+ hours)
- ✓ Cost segregation study ordered for Reid Rd, Hutto study status confirmed
- ✓ HELOC applications submitted on Reid Rd (target \$50K-\$75K)
- ✓ Home office and vehicle mileage tracking systems operational
- ✓ Accountable plan implemented for LLC expense reimbursements
- ✓ Bitcoin DCA launched at \$600/month + \$5K initial lump purchase
- ✓ CPA engaged for year-end tax planning and 2025 return preparation
- ✓ Vienna Rd renovation planning complete with detailed budget and timeline
- ✓ Alternative business credit research complete, applications submitted if appropriate
- ✓ Existing STR optimization (photos, pricing, listings) reviewed and improved

Revised First-Year ROI Calculation

Methodology Change: Original plan assumed launching 3 STRs and deploying available business credit. Revised calculation reflects 2 operational STRs, credit already deployed, and Vienna Rd conversion as primary near-term project.

Conservative Scenario: \$85,000-\$115,000

Component	Value Range	Source/Calculation
Tax Strategy Implementation	\$35,000-\$55,000	• Cost segregation on Reid Rd: \$12K-\$18K savings • Cost segregation on Hutto (in progress): \$8K-\$12K savings • STR loophole on Vassar + Hutto: \$12K-\$16K savings • Home office, accountable plan, vehicle: \$3K-\$5K savings • Augusta Rule (if implemented): \$0-\$4K savings
Bitcoin Accumulation & Growth	\$8,000-\$15,000	• Initial lump: \$5K + DCA \$600/mo × 12 = \$12.2K deployed • Scale to \$800/mo months 6-12 = \$17K total deployed • Conservative 20% growth = \$3.4K

gain

- Moderate 30% growth = \$5.1K gain
- **Deployed + Gains: \$20.4K-\$22.1K position**
- **Year-one impact (gains only): \$3.4K-\$5.1K**
- **+ Tax savings deployment value: \$5K-\$10K**

**Existing STR
Cash Flow
(Vassar +
Hutto)**

\$24,000-\$36,000

- Both properties operational Apr-Jun 2025
- Combined cash flow: \$2K-3K/mo after expenses
- 12-month projection: \$24K-\$36K
- (Excludes startup losses already incurred)

**Vienna Rd
Forced
Appreciation**

\$15,000-\$25,000

- Renovation investment: \$30K-\$50K
- Post-reno value: \$110K-\$130K

- Current value:
~\$80K-\$100K
- Forced appreciation:
\$10K-\$30K
- Conservative
capture: 50-80% in
year one
- (Assumes
completion months
6-9)

Real Estate Portfolio Appreciation (3%)	\$7,000-\$10,000	• Total portfolio value: ~\$700K-\$850K • Natural appreciation: 3% annually • Gain: \$21K-\$25.5K • Excludes Vienna Rd forced appreciation • Conservative 1-year capture: \$7K-\$10K

CONSERVATIVE TOTAL YEAR- ONE VALUE	\$89,000-\$141,000	Tax savings + Bitcoin + Cash flow + Forced appreciation + Portfolio growth
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Aggressive Scenario: \$135,000-\$195,000		
Component	Value Range	Assumptions

**Tax Strategy
Implementation**

\$60,000-\$85,000

- Cost seg on Reid Rd + Hutto + Vienna Rd: \$35K-\$50K savings
- STR loophole maximized with REPS qualification: \$20K-\$25K
- All strategies implemented: Home office, accountable plan, vehicle, Augusta Rule: \$5K-\$10K

**Bitcoin
Accumulation &
Growth**

\$15,000-\$28,000

- Initial lump: \$5K + HELOC lump \$15K = \$20K
- DCA: \$600/mo → \$1,200/mo scale = \$10.8K
- Tax refund deployment: \$8K-\$12K
- Total deployed: \$38.8K-\$42.8K
- 50% growth scenario: \$19.4K-\$21.4K gains

		• Year-one position: \$58.2K-\$64.2K • Year-one impact (gains + strategic value): \$25K-\$35K
Existing STR Cash Flow (Optimized)	\$36,000-\$48,000	• Vassar + Hutto optimized with better pricing/photos • Combined: \$3K-4K/mo after all expenses • 12-month stabilized projection
Vienna Rd Forced Appreciation	\$25,000-\$40,000	• \$30K-\$50K renovation investment • Post-reno value: \$120K-\$140K (strong STR demand) • Forced appreciation: \$30K-\$50K • Full capture in year one

(completion
month 6-7)

**Real Estate
Portfolio
Appreciation
(5%)**

\$12,000-\$18,000

- Strong Michigan + Texas markets
- Portfolio value: \$700K-\$850K
- 5% annual appreciation
- Excludes Vienna Rd forced appreciation

**AGGRESSIVE
TOTAL YEAR-
ONE VALUE**

\$148,000-\$219,000

**Maximum
implementation +
strong markets +
full execution**

Most Likely Scenario: \$110,000-\$155,000

Realistic Expectation: Most likely outcome falls between conservative and aggressive, assuming:

- Strong tax strategy execution (cost seg + STR loophole + basic strategies): \$45K-\$65K savings
- Bitcoin moderate deployment with 30-40% growth: \$12K-\$20K impact
- Existing STRs perform well with optimization: \$30K-\$42K cash flow
- Vienna Rd renovation completes months 6-8 with good execution: \$18K-\$30K forced appreciation
- Real estate market delivers 3-4% appreciation: \$8K-\$12K

Most Likely Year-One Total Value

\$113,000 - \$169,000

Comparison to Original Plan Projections

Scenario	Original Plan	Revised Plan (This Addendum)	Difference
Conservative	\$70,000-\$89,000	\$89,000-\$141,000	+\$19K to +\$52K
Most Likely	\$110,000-\$145,000	\$113,000-\$169,000	+\$3K to +\$24K
Aggressive	\$115,000-\$175,000	\$148,000-\$219,000	+\$33K to +\$44K

Why the Upward Revision?

1. **Operational STRs:** You're ahead of the original timeline with 2 STRs already generating income and positioned for immediate tax benefits
2. **Cost Segregation Underway:** Hutto study in progress means tax savings will hit 2025 return (original plan assumed 60-90 day delay)
3. **Builder Advantage:** Your licensed builder status and self-performance saves \$30K-\$45K on barndominium (not fully captured in original ROI)
4. **Vienna Rd Opportunity:** Conversion project has stronger forced appreciation potential than primary residence MTR conversion

5. **Material Participation Retroactive Value:** Documenting April-November hours unlocks substantial 2025 deductions that weren't fully captured in original estimates

Critical Success Factors (Updated)

Your success depends on executing these five priorities in correct order:

1. Material Participation Documentation (URGENT - This Week)

Without documented proof of 100+ hours per STR in 2025, you forfeit \$12K-\$24K in tax savings from STR loophole. This is your highest-ROI activity right now (potentially \$12K-\$24K for 20-30 hours of documentation work = \$400-\$1,200 per hour of your time).

Action: Spend 20-30 hours THIS WEEK reconstructing April-November hours for both STRs. Use calendars, emails, receipts, and photos to substantiate estimates. Create detailed log by week and activity type.

2. HELOC Capital Access (Week 1-2)

Reid Rd HELOC provides the funding for Vienna Rd renovation and barndominium start. Without this capital access, timeline extends 90+ days and limits year-one value capture.

Action: Apply to 5+ lenders immediately. Target \$50K-\$75K on Reid Rd. If denied, pivot to cash-out refinance (longer timeline but achieves same goal).

3. Cost Segregation Studies (Weeks 2-3)

Reid Rd and completed Hutto studies unlock \$20K-\$35K in year-one tax savings. These must complete by February 2026 to include in 2025 tax return.

Action: Order Reid Rd study immediately. Confirm Hutto study completion timeline. Provide all documentation promptly to avoid delays.

4. Vienna Rd Renovation Execution (Months 2-7)

This project creates \$15K-\$40K in forced appreciation plus adds a third STR for additional cash flow and tax benefits. Delays reduce year-one value capture.

Action: Complete detailed renovation plan and budget by end of Week 2. Begin work immediately upon HELOC funding. Target completion by July 2026.

5. Bitcoin DCA Discipline (Ongoing)

Consistent Bitcoin accumulation at \$600-\$1,200/month builds position that compounds over 5-10 years. Missing months disrupts DCA advantage and reduces long-term returns.

Action: Set up automatic River purchases TODAY. Treat as non-negotiable monthly bill. Never pause DCA regardless of price volatility.

What Could Derail This Plan

Risk	Impact	Mitigation
HELOC Denial	Delays Vienna Rd 90+ days	Apply to multiple lenders simultaneously; have cash-out refi backup plan
Material Participation Audit	\$12K-\$24K deductions disallowed	Meticulous documentation NOW; daily tracking going forward; CPA guidance
Vienna Rd Renovation Overruns	Reduced forced appreciation	Detailed budget with 15% contingency; phased approach; your builder expertise

STR Market Softening	Lower cash flow projections	Optimize existing STRs (pricing, photos, amenities); diversify with MTR if needed
Bitcoin Volatility	Temporary portfolio value decline	5+ year time horizon; never sell during drawdowns; continue DCA through volatility

Key Takeaways & Next Steps

You're in a Stronger Position Than Original Plan Assumed

While several corrections were needed, you're actually AHEAD of the original timeline in critical areas:

- ✓ Two STRs already operational (not future launches)
- ✓ Cost segregation study in progress for Hutto (faster tax benefits)
- ✓ Licensed builder advantage reduces barndominium costs 20-30%
- ✓ Sophisticated 8-LLC structure provides excellent asset protection
- ✓ Multiple properties with substantial equity provide capital access

Your Immediate Action Items (Priority Order)

TODAY:

1. Install time-tracking app and begin material participation reconstruction (4-6 hours)
2. Create River.com account and set up Bitcoin DCA (1 hour)

THIS WEEK:

1. Complete material participation documentation for both STRs (targeting 150+ hours each)
2. Apply for HELOC on Reid Rd with 5+ lenders (\$50K-\$75K target)
3. Order cost segregation study for Reid Rd (\$4K-\$6K investment, \$15K-\$25K savings)
4. Confirm Hutto cost seg completion timeline
5. Set up home office and vehicle mileage tracking

NEXT 30 DAYS:

1. Engage CPA experienced with STR loophole and real estate taxation
2. Create detailed Vienna Rd renovation budget and timeline
3. Implement accountable plan for LLC expense reimbursements
4. Research alternative business credit options for Vienna Rd furnishings
5. Optimize existing STR listings (photos, pricing, descriptions)
6. Begin barndominium planning (design, permits, material pricing)

Questions Before Monday's Meeting?

This supplemental addendum addresses all corrections you identified. We'll discuss implementation strategy and answer any questions during our Monday meeting. In the meantime, focus on the immediate priority items (material participation documentation and HELOC applications) as these have the highest year-one ROI.

Meeting Preparation: Review this addendum before Monday. Come prepared with:

- Estimated material participation hours you've already reconstructed
- Questions about Vienna Rd renovation scope and budget
- Current status of Hutto cost segregation study
- Any entity structure questions about your 8 LLCs
- Clarification on primary residence value and mortgage balance (for complete equity calculation)

Document Revision History

Date	Document	Version
November 2025	Original Comprehensive Wealth Plan	1.0
November 18, 2025	Supplemental Addendum (Corrections & Refinements)	1.1

This supplemental addendum supersedes conflicting information in the original plan. Where information aligns, both documents remain valid. Shayne should implement strategies from both documents, prioritizing corrections and timeline adjustments outlined in this addendum.